

Annexure - 21

Purchase Proposal Format - Project/ Non-Project/ Capital Items and Services²⁶³

DIVISION/ OFFICE/ COMPLEX	PROPOSAL FOR APPROVAL FOR PROCUREMENT OF (ITEMS/SERVICES)	PROJECT/ CATEGORY: (Indicate Project in case of Project Items Material purchase. Indicate material category viz. Maintenance items, Welfare items, Consumables, Tools etc. in case of Non-project items . Indicate the Project for items other than those under, Improvements/ replacements, welfare, Computers and indigenization as per approved Capital Budget for Capital Items .)
REF. NO:		DATE:
1	Proposal	- Proposal for Placement of Order on.....for supply of / Re-conditioning offor a total value (Foreign Currency – on FOB/Ex-works etc.)... (i.e. Rs..... on CIF basis @ exchange rate of..., Freight & Insurance @....., at EC ____ Level) - OR - Proposal is for holding negotiation for - OR - Proposal is for issue of Order amendment for - (Indicate the price break-up viz. cost of basic equipment, Accessories, Maintenance Spares, Installation & Commissioning charges, Duties & Taxes, Training / Technical Assistance etc. in the Draft Purchase Order in case of Capital Items.)
2	Back ground	- Projects: (Explain how the need for procurement has arisen in case of requirements for other than approved projects/ programmes) - Non-Projects: (To be Mentioned only if necessary) - Capital Items: (Furnish how the need for procurement has arisen and also confirm that the procurement of the item is re-assessed with reference to its expected utilization vis-à-vis programme/task on hand. For items under Replacement, confirm PRC's recommendation and also disposal of old equipment after commissioning of new equipment. Confirm that location, civil/mechanical/electrical facilities would be made ready before the receipt of the equipment.)
3	Provisioning / Finalization of Specifications of Items in case of Capital items	Projects:- - Confirm that the quantities proposed are based on norms of consumption/ provisioning relating to the approved programme/task and that quantity in stock/WIP/pipeline have been taken into account. - Indicate year-wise Programme/Task considered : Year Task - Indicate feasibility of indigenization - Confirm if Long Term Agreement (LTA) has been considered

²⁶³ (Annexure 21, Purchase Proposal Format is partly modified by deleting texts and including additional texts vide Amendment no. 3 Dt. 01-04-2026)

		- If TOT/Co-Production is considered for the items, please provide details - If items proposed to be ordered are within the production range of the Division, reasons for procurement rather than production need to be justified. Non-Projects:- - Confirm that the quantities proposed are based on norms of consumption/ provisioning relating to the approved programme/task and quantities in stock/ WIP & pipeline have been considered. - Indicate feasibility of indigenization / import substitution - Confirm if Long Term Agreement (LTA) has been considered Capital Items :- - Confirm that the Technical Committee has approved the specifications of the equipment for procurement.	
4	Tendering	Specify: - Procedure followed for Sourcing/ Vendor selection - Mode of Tendering: Open/Limited/Single/Proprietary - in case of proprietary items/ single tender case, enclose Proprietary Certificate/ Single Tender certificate, respectively. Certificate to be signed by Head of Division for proposals sent to Complex/ Corporate Office. - Authority approving Mode of Tendering - Analysis of responses: No. of firms contacted/ offers received, time given for receiving offers etc. - Whether two bid system followed (wherever required) - Confirm that Commercial Bids of only technically acceptable offers have been opened after completion of technical evaluation in case of 2 bid system. - Confirm that laid down tendering procedures (e.g. GTE, PPP-MII, MSE, etc.) have been followed. - Confirm if Integrity Pact is applicable, same is signed by both HAL and the vendor as per HAL format. - Reason for not procuring the items through GeM tender, wherever applicable.	
5	Technical Evaluation	- Indicate summary of Technical Evaluation Committee Recommendation. - Provide Technical Evaluation Statement of offers w.r.t. Specifications as per RFQ and recommendations/ comments, duly vetted by technical committee, wherever applicable in support of the recommendation as per details at Encl-1 (Annexure 21A).	
6	Commercial Evaluation	- Indicate summary of Commercial Evaluation of Bids. - Provide Comparative Statement of Prices duly checked and verified by Division, as per the format at Encl-2 (Annexure 21B). - Provide Commercial Evaluation of complete Terms and Conditions of the Bids vis-a vis the RFQ, duly checked and verified by Division, as per the format at Encl-3 (Annexure 21C). - Level prices correctly & confirm. - Indicate whether the prices are firm & fixed or subject to escalation. If so indicate details. - Consider life cycle cost/ operating cost also wherever necessary.	
7	Price Reasonability	<u>Price Justification</u> Comparison of prices to be made with past procurement prices or on the basis of technical estimates along with weighted average annual escalation. Details to be placed at Encl-4 (Annexure 21D)	<u>Recommendation</u> Indicate acceptability of leveled offered prices or negotiation

8	Negotiation If required	- Provide points/ agenda for negotiation w.r.t. comments in the technical/ commercial evaluation statements at Encl-5 (Annexure 21E). - Provide justification if negotiations are proposed with other than technically acceptable lowest Bid. - Constitution of PNC as per DOP																			
9	PNC Recommendation	- Provide summary of recommendations of PNC - Enclose the Report of the PNC duly signed by all members and approved by the chairman of PNC, clearly bringing out the improvements due to negotiations and recommendations as per the format at Encl-6 (Annexure 21F).																			
		<u>Price Justification (post Negotiation)</u> Comparison of prices to be made with past procurement prices or on the basis of technical estimates along with weighted average annual escalation. Revised Price Justification to be placed as per the format at Annexure 21D.	<u>Recommendation</u> Indicate acceptability of the negotiated prices																		
10	Delivery / Lead Time	- Indicate the delivery lead-time and confirm whether it meets programme requirements. - Confirm staggered delivery in case of procurement exceeding 12 months requirement. - If LD Clause is not provided, indicate reasons for same.																			
11	Payment Terms	<table><tr><td>a)</td><td>Indicate Payment Terms (Description should be same as indicated in draft PO/Contract.)</td><td></td></tr><tr><td>b)</td><td>Indicate Bank Account Details e.g. Bank Name, Account No./IBAN, IFSC/ Swift code, etc. (not applicable for GeM procurement)</td><td></td></tr><tr><td>c)</td><td>In case of Advance Payments, confirm that Bank Guarantee covering the payment will be obtained. – indicate (as applicable) whether Interest bearing/free and with/without Bank Guarantee/ Indemnity Bond/ Letter of Guarantee, etc.</td><td></td></tr><tr><td>d)</td><td>In case of payment through Letter of Credit (LC), following should be mentioned in the PO proposal indicate - Type of LC, Date/period when LC to be established, Document(s) to be presented for release of LC Payment, who will bear the LC or its amendment charges, any special condition/s, etc. ²⁶⁴</td><td></td></tr><tr><td>e)</td><td>Applicability of Bank Charges, if any. Also indicate whether HAL or Vendor will bear such charges.</td><td></td></tr><tr><td>f)</td><td>Confirm that Performance Bank Guarantee will be obtained before final payment Indicate applicability of Security Deposit/ Performance Bank Guarantee along with its instrument type e.g. DD, BG, retention of equivalent amount, etc.</td><td></td></tr></table>		a)	Indicate Payment Terms (Description should be same as indicated in draft PO/Contract.)		b)	Indicate Bank Account Details e.g. Bank Name, Account No./IBAN, IFSC/ Swift code, etc. (not applicable for GeM procurement)		c)	In case of Advance Payments, confirm that Bank Guarantee covering the payment will be obtained. – indicate (as applicable) whether Interest bearing/free and with/without Bank Guarantee/ Indemnity Bond/ Letter of Guarantee, etc.		d)	In case of payment through Letter of Credit (LC), following should be mentioned in the PO proposal indicate - Type of LC, Date/period when LC to be established, Document(s) to be presented for release of LC Payment, who will bear the LC or its amendment charges, any special condition/s, etc. ²⁶⁴		e)	Applicability of Bank Charges, if any. Also indicate whether HAL or Vendor will bear such charges.		f)	Confirm that Performance Bank Guarantee will be obtained before final payment Indicate applicability of Security Deposit/ Performance Bank Guarantee along with its instrument type e.g. DD, BG, retention of equivalent amount, etc.	
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²⁶⁴ (Annexure 21, Para 11 is partly modified by including additional texts vide Amendment no. 1 Dt. 29-01-2024)

		g) Indicate any other condition relevant for release of payment			
12	Price Recoverability (For Project and Capital Items)	- Confirm that the proposed price is within the price projected in the quote to the customer and is recoverable from the customer - In case of new projects/D&D/Indigenization programmes confirm that the proposal is covered within the approval of the Govt./Board/MC/TDPC/CMD/Divisional Head (as the case may be) in respect of material estimates included in the approved Project Report/ sanction (as applicable) for the relevant phase of production. - Confirm that receipt of funds from Customers will be as per the expected cash flow indicated at Sl. No: 13 below			
13	Performance Budget Reference	Year	RE_____BE_____FC_____		
		Budget Head/category	New/Existing Projects/ Improvements/ Replacement/ Welfare/ Computers/ D&D/ Indigenization/ Customer Financed items		
		Commitment Approved	To be Indicated		
		Committed so far	To be Indicated		
		Commitment now proposed	To be Indicated		
		Balance after this	To be Indicated		
13 a	Re-appropriations of Capital Budget sanctions, if any	– Indicate re-appropriation if any.			
14	Validity of Offer	- Indicate validity of offer. - Send proposal to reach Corporate Office at least 3 weeks before expiry of the validity of offer.			
15	Reference to DOP	- Indicate DOP reference correctly.			
16	Recommendation	- Indicate clear recommendations for which approval of CFA is requested. - In case of LTA/ TOT / Co-Production, enclose copy of Draft Purchase Order/ Agreement at Encl-7 - If approval is sought for other than technically acceptable L1 offer, indicate reasons for same.			
DIVISION	Routing	Dealing Officer	Head of IMM	Head of Finance	Head of Division
	Signature Name/Designation Date:				
COMPLEX	Routing	Head of Complex Finance		FD/CEO	
	Signature Name/Designation Date:				

CORPORATE OFFICE	Routing	Head of IMM	Head of Planning	Head of Finance
	Signature Name/Designation Date:			
	Recommended	Concurred	Sanctioned Approved	
	D (OPS)	DF	CMD	
Date				
<u>Note:</u> For additional information/comments, if any, please attach separate sheets				